

Employing in Australia

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts referencing the applicable Modern Award or enterprise agreement
- **Monthly payroll** — salary payments in AUD, itemised payslips and STP (Single Touch Payroll) reporting to the ATO
- **Tax withholding** — PAYG income tax withheld and remitted to the Australian Taxation Office on your behalf
- **Superannuation** — Superannuation Guarantee contributions paid to the employee's fund every payday under Payday Super
- **Leave and termination management** — notice periods, entitlements and unfair dismissal risk guidance under the Fair Work Act

Employment Conditions

Contracts & Probation

Most Australian employees are covered by a Modern Award or enterprise agreement setting minimum pay and conditions on top of the National Employment Standards (NES). There is no statutory minimum or maximum probation period, but 6 months is standard practice — it is also the minimum employment period an employee must serve before gaining access to unfair dismissal protections (12 months for small business employers with fewer than 15 employees).

Item	Detail	Legal Basis
National Employment Standards (NES)	10 minimum entitlements underpinning every contract, award or agreement	Fair Work Act 2009
Modern Award coverage	Sets minimum pay rates, penalty rates and conditions by industry/occupation	Fair Work Commission
Minimum employment period (unfair dismissal)	6 months (12 months for small business, <15 employees)	Fair Work Act 2009
Probation period	No statutory minimum/maximum; 6 months typical in practice	Employer discretion

Working Hours & Overtime

The NES sets maximum ordinary hours at 38 hours/week for full-time employees, plus "reasonable" additional hours. Overtime entitlements and penalty rates are primarily set by the applicable Modern Award rather than a single national rule.

Rule	Detail	Authority
Maximum ordinary hours	38 hours/week for full-time employees, plus reasonable additional hours	Fair Work Act 2009, s.62
Overtime premium	Typically 150% for the first 2-3 hours, 200% thereafter (Award-dependent)	Applicable Modern Award
Casual loading	25% loading in lieu of paid leave entitlements	Fair Work Act 2009 / Modern Awards
Right to disconnect	Employees may refuse unreasonable employer/client contact outside working hours	Fair Work Act 2009 (s.333M, 2024 amendment)

Minimum Wage & Superannuation (from 1 July 2026)

The Fair Work Commission's Annual Wage Review lifts award and minimum wages each 1 July. Superannuation is paid on top of wages, not included in them, and now moves every payday rather than quarterly under Payday Super.

Measure	Rate	Notes
National Minimum Wage	AUD 26.44/hour (AUD 1,004.90/week, 38-hr week)	+6% from 1 July 2026; award-free floor only — most employees have a higher Award minimum
Casual National Minimum Wage	AUD 33.05/hour	Includes 25% casual loading
Superannuation Guarantee (SG)	12% of ordinary time earnings	Final legislated rate, unchanged since 1 July 2025; paid every payday from 1 July 2026 (Payday Super)
Maximum super contribution base	AUD 270,830/year	Cap above which SG is not compulsory (max required SG ~AUD 32,499.60/year)

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	4 weeks/year (5 weeks for some shift workers)	Employer	Accrues progressively from day one; cashing out requires agreement
Personal/Carer's Leave	10 days/year paid	Employer	Accrues progressively; can be used for the employee's own illness or to care for family
Parental Leave	12 months unpaid (extendable to 24 months)	Unpaid; Government Paid Parental Leave scheme runs alongside	Paid Parental Leave (Services Australia) is expanding toward 26 weeks by July 2026
Compassionate/Bereavement Leave	2 days per occasion	Employer	Paid for permanent/full-time; unpaid for casuals
Family & Domestic Violence Leave	10 days/year paid	Employer	Available to all employees, including casuals, from day one

★ HERO TIP

Payday Super started 1 July 2026 — superannuation must now reach the employee's fund within days of each pay run rather than quarterly. Late or missed contributions trigger the Superannuation Guarantee Charge, which is non-deductible and includes interest and an administration fee. Review payroll cut-off timing now if your Australian payroll cycle is fortnightly.

Payroll, Tax & Contributions

Employer Costs (2026-27)

Contribution	Employer Rate	Notes
Superannuation Guarantee	12% of ordinary time earnings	Paid every payday under Payday Super; capped at the maximum contribution base
Payroll Tax	State-based, typically 4.75%–5.45%	Only applies once total wages exceed a state-specific threshold (varies NSW/VIC/QLD/WA etc.)
Workers' Compensation	Varies by state and industry classification	Mandatory employer-funded insurance, administered per state scheme

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Superannuation Guarantee (12%)	\$360.00	12.00%
EOR service fee (HeroForce, Tier 1)	\$400.00	13.33%
Estimated total monthly cost	~\$3,760.00	~125.3%

HeroForce EOR service fee shown at USD \$400 per employee per month (Tier 1 pricing), no setup fee. Payroll tax and workers' compensation are excluded as they are state- and industry-specific. Employee deductions (withheld separately) include PAYG income tax and the Medicare levy (2%).

Income Tax (Resident Rates, 2026-27)

Income tax is withheld under PAYG and remitted to the ATO. The tax-free threshold is AUD 18,200; a 2% Medicare levy applies on top for most residents.

Taxable Income (AUD)	Rate
\$0 – \$18,200	0%
\$18,201 – \$45,000	15%
\$45,001 – \$135,000	30%
\$135,001 – \$190,000	37%
Above \$190,000	45%

Rates exclude the 2% Medicare levy and any tax offsets (e.g. LITO). The second bracket dropped from 16% to 15% on 1 July 2026.

Termination & Separation

Notice Periods (NES)

Length of Continuous Service	Employer's Minimum Notice	Key Rule
Under 1 year	1 week	Fair Work Act 2009, s.117
1–3 years	2 weeks	Fair Work Act 2009, s.117
3–5 years	3 weeks	Fair Work Act 2009, s.117
5+ years	4 weeks	Fair Work Act 2009, s.117
Employee 45+ with 2+ years' service	Add 1 extra week to the above	Fair Work Act 2009, s.117(3)

Redundancy Pay (NES)

Length of Service	Redundancy Pay	Notes
Less than 1 year	Nil	Fair Work Act 2009, s.119
1–2 years	4 weeks	Scale rises with each year of service
4–5 years	8 weeks	Scale rises with each year of service
9–10 years	12 weeks (maximum)	Redundancy pay reduces slightly beyond 10 years under the NES formula
Small business (<15 employees)	Generally exempt	No statutory redundancy pay obligation

★ HERO TIP

Australia's unfair dismissal regime protects most employees once they clear the minimum employment period, and dismissals must be for a valid reason with a fair process (the Small Business Fair Dismissal Code offers a simpler safe harbour for eligible small employers). Always route Australian terminations through your HeroForce EOR, and don't rely on the notice-period table alone — many Modern Awards and enterprise agreements set longer or more generous terms.

Public Holidays 2026 (National)

Australia has 8 nationally-observed public holidays in 2026; each state and territory adds its own additional holidays (e.g. Labour Day, King's Birthday, Melbourne Cup Day), bringing the total to 10-13 depending on location.

Date	Holiday	Type
1 January	New Year's Day	National
26 January	Australia Day	National
3 April	Good Friday	National
6 April	Easter Monday	National
25 April	Anzac Day	National (substitute Monday 27 April in ACT, WA, NT)
25 December	Christmas Day	National
26 December	Boxing Day	National (substitute Monday 28 December in most states, not SA)

State/territory additions include Labour Day (varies by state and date), King's/Queen's Birthday (varies by state), Canberra Day (ACT), Melbourne Cup Day (VIC, metro), and Western Australia Day. Confirm the employee's home state before finalising a leave calendar.

Ready to hire in Australia?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Australia employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$400** per employee per month, no setup fee (Tier 1).